F.No. R 11015/01/2023-CD-I

Government of India

Ministry of Cooperation

Atal Akshay Urja Bhawan,CGO Complex, New Delhi

Dated the 3rd August, 2023

To

The Chairman and Secretary of all Cooperative Societies

Subject: Condonation of delay under clause (b) of sub-section (2) of section 119 of the Income Tax Act,1961 (IT Act) for returns of Income claiming deduction/s 80P of the Act for various assessment years from AY 2018-19 to AY 2022-23-Regarding

Sir,

In order to realize the Hon'ble PM's vision of 'Sahakar se Samriddhi' and under the guidance of Hon'ble Home & Cooperation Minister Shri Amit Shah, several initiatives have been taken to resolve the difficulties faced by cooperative societies in Income Tax related issues.

2. With reference to the subject above and it is stated that section 80P of the IT Act provides for deduction in respect of income of cooperative societies. However, no such deduction shall be allowed to them unless they furnish returns of their income for such assessment year on or before the due date specified under sub-section (1) of section 139 of the IT Act.

3. Co-operative societies claiming deduction u/s 80P of the Act for various assessment years from AY 2018-19 to AY 2022-23, have made application before CBDT regarding condonation of delay in furnishing return of income and to treat such returns as 'returns furnished within the due date under sub-section (1) of section 139 of the Act stating that delay in furnishing return of income was caused due to delay in getting the accounts audited under respective State Laws.

4. In line with above and in order to mitigate genuine hardship of cooperative societies with reference to Para 3 above, CBDT vide circular no. 13/2021 dated 26 July 2023 has authorized Chief Commissioners of Income-tax (CCsIT) / Directors General of Income-tax (DGsIT) to deal with such applications of condonation of delay (***copy enclosed***).

5. In case your cooperative society was not able to avail the benefit of deduction available under section 80P of the IT Act on account of delay in furnishing the return of income within the due date under sub-section (1) of section 139 of the Act and the delay was caused due to circumstances beyond your control or due to delay in getting the accounts audited by statutory auditors appointed under the respective State Law; you are requested to make an application before CCIT/DGIT along with appropriate documentary evidence/s for passing appropriate order in the matter .

6. You are further requested to ensure that the accounts of your society are audited by statutory auditors appointed under the respective State Law before the due date of furnishing the return of income under sub-section (1) of section 139 of the IT Act and file returns of income in time so that your society is eligible for the benefits of deductions available to cooperative societies under IT Act.

Yours faithfully,

Avnish Rastogi
03/08/2023

(Avnish Rastogi)
Under Secretary to the Govt. of India.

Copy to:

1. ACS/Pr. Secretary (Cooperation) all States
2. Registrar of Cooperative Societies all States
3. District Registrar (Cooperatives) all Districts

Circular No.13 /2023

F.No.173/21/2023-ITA-I
Government of India
Ministry of Finance
Department of Revenue
Central Board of Direct Taxes

New Delhi the 26th July, 2023

Sub:- Condonation of delay under clause (b) of sub-section (2) of section 119 of the Income-tax Act, 1961 for returns of income claiming deduction u/s 80P of the Act for various assessment years from AY 2018-19 to AY 2022-23– Reg.

Section 80P of the Income-tax Act, 1961 (hereafter referred to as 'Act') provides for deduction in respect of income of co-operative societies under Chapter VIA-Part-C ("Deductions in respect of certain incomes") of the Act.

2. In so far as section 80P of the Act is concerned, Finance Act, 2018 substituted section 80AC of the Act w.e.f. 01.04.2018 which provides as under –

Deduction not to be allowed unless return furnished.

80AC. *Where in computing the total income of an assessee of any previous year relevant to the assessment year commencing on or after—*

(i) the 1st day of April, 2006 but before the 1st day of April, 2018, any deduction is admissible under section 80-IA or section 80-IAB or section 80-IB or section 80-IC or section 80-ID or section 80-IE;

(ii) the 1st day of April, 2018, any deduction is admissible under any provision of this Chapter under the heading "C.--Deductions in respect of certain incomes",

no such deduction shall be allowed to him unless he furnishes a return of his income for such assessment year on or before the due date specified under sub-section (1) of section 139.

3. Applications have been received in the Central Board of Direct Taxes (hereafter referred to as 'the Board') from co-operative societies claiming deduction u/s 80P of the Act for various assessment years from AY 2018-19 to AY 2022-23, regarding condonation of delay in furnishing return of income and to treat such returns as 'returns furnished within the due date under sub-

section (1) of section 139 of the Act stating that delay in furnishing return of income was caused due to delay in getting the accounts audited under respective State Laws.

4. In order to mitigate genuine hardship in cases referred to in para 3, the Board, in exercise of the powers conferred under section 119 of the Act, hereby directs that the Chief Commissioners of Income-tax (CCsIT) / Directors General of Income-tax (DGsIT) are authorised to deal with such applications of condonation of delay pending before the Board, upon transfer of such applications by the Board, and decide such applications on merits, in accordance with the law.

5. The Board hereby further directs that the CCsIT/DGsIT, henceforth, shall admit all pending as well as new applications for condonation of delay in furnishing returns of income claiming deduction u/s 80P of the Act, filed either in the Board or in field formation for the assessment years 2018-19 to 2022-23 and decide such applications on merits in accordance with the law where such person is required to get his accounts audited under respective State Laws.

6. In the context of para-5 above, the CCsIT/DGsIT while deciding such applications for condonation of delay in furnishing return of income, shall satisfy themselves that the applicant's case is a fit case for condonation under the existing provisions of the Act. The CCsIT/DGsIT shall examine the following while deciding such applications –

(i) the delay in furnishing the return of income within the due date under sub-section (1) of section 139 of the Act was caused due to circumstances beyond the control of the assessee with appropriate documentary evidence/s;

(ii) where delay in furnishing return of income was caused due to delay in getting the accounts audited by statutory auditors appointed under the respective State Law under which such person is required to get his accounts audited, the date of completion of audit vis-à-vis the due date of furnishing the return of income under sub-section (1) of section 139 of the Act; and

(iii) any other issue indicating towards tax avoidance or tax evasion specific to the case, which comes into the light in the course of verification and having bearing either in the relevant assessment year or establishing connection of relevant assessment year with other assessment year/s.

6.1 The cases falling under para 6(iii) above, would require further necessary action as per law.

7. The CCsIT/DGsIT shall preferably dispose the application within three months from the end of the month in which such application is received from the applicant or transferred by the Board. No order rejecting the application under section 119(2)(b) of the Act shall be passed without providing the applicant an opportunity of being heard.

8. Hindi version to follow.

Vikas Singh
(Vikas Singh)
Director (ITA-I)

Copy to:

1. PS to FM/OSD to FM/PS to MoS (R)/OSD to MoS(R)
2. PPS to Revenue Secretary
3. Chairman, CBDT & All Members, CBDT
4. All Pr. Chief Commissioners of Income-tax / Pr. Director Generals of Income-tax.
5. Pr. Chief Controller of Accounts, New Delhi
6. All Joint Secretaries/CsIT, CBDT
7. Web Manager, O/o Pr. DGIT(Systems) with request to upload on the departmental website.
8. Commissioner of Income-tax (Media & TP) and Official spokesperson of CBDT, New Delhi.
9. Secretary General, IRS Association/ Secretary General, ITGOA/All-India Income-tax SC & ST Employees' Welfare Association/Income-tax Employees Federation (ITEF)
10. JCIT, Data-Base Cell for uploading on www.irsofficersonline.org

Vikas Singh
Director (ITA-I)